

cryptoassets can be classified as securities, with the most notable example being The DAO.³

While it's a great validation of cryptoassets that regulators are working to provide clarity on how to classify at least some of them, most of the existing laws set forth suffer from the same flaw: agencies are interpreting cryptoassets through the lens of the past.

What further complicates the situation is that not all cryptoassets are made equal. Just as there is diversity in equities, with analysts segmenting companies depending on their market capitalization, sector, or geography, so too is there diversity in cryptoassets. Bitcoin, litecoin, monero, dash, and zcash fulfill the three definitions of a currency: serving as a means of exchange, store of value, and unit of account. However, as we've seen, many other cryptoassets function as digital commodities, or cryptocommodities. These cryptocommodities include ether, storj, sia, and golem. Meanwhile, there are myriad cryptotokens for end-user-specific applications, such as augur, steem, singularDTV, or gamecredits. Moreover, all cryptoassets are alive with code that morphs based on the evolution of use cases and the value-add that the core open-source developers feel their cryptoasset can best fulfill.

How can a regulator possibly hope to put a cryptoasset in a category that is centuries old, when these assets are redefining themselves and breaking their own boundaries every couple of years, if not every couple of months?

They can't.